



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2017

Prepared for:

CITY OF SAN MATEO



By:

ANALYTICS & COMPLIANCE GROUP

A Division of Urban Futures, Inc.

City of San Mateo
Continuing Disclosure Annual Report for the Fiscal Year Ended June 30, 2017

Affected Issuances:

\$31,990,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2011 Series A

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

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INTRODUCTION

I. BACKGROUND

\$31,990,000 Sewer Revenue Bonds 2011 Series A

On May 11, 2011 the City of San Mateo issued its \$31,990,000 Sewer Revenue Bonds 2011 Series A (the “2011A Bonds”). Proceeds from the sale of the 2011A Bonds were used to (a) refund the City’s outstanding (i) Sewer Revenue Refunding Bonds, Series 1996A, (ii) Sewer Revenue Bonds, Series 1998A, and (iii) Sewer Revenue Refunding Bonds, Series 1998B; (b) finance various improvements to the City’s municipal sewer enterprise; (c) make a deposit into a reserve fund for the 2011 Bonds and the 2003 Bonds; and (d) pay a portion of the costs of issuance of the 2011 Bonds. Please see the Official Statement for the 2011A Bonds as provided online at Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2011A Bonds is payable on February 1 and August 1 of each year, commencing August 1, 2011 with principal payments due on August 1.

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014 the City of San Mateo issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A (the “2014A Bonds”). Proceeds from the sale of the 2014A Bonds were used to (a) refund the City’s outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City’s municipal sewer enterprise; and (c) pay costs of issuance of the 2014 Bonds. Please see the Official Statement for the 2014A Bonds as provided online at Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015 with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Annual Report is being provided by the Dissemination Agent for distribution to the MSRB's EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or Urban Futures, Inc. The City and Urban Futures, Inc. make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or Urban Futures, Inc., and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and Urban Futures, Inc. shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or Urban Futures, Inc.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2011 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2011	799016DX5
8/1/2012	799016DY3
8/1/2013	799016DZ0
8/1/2014	799016EA4
8/1/2015	799016EB2
8/1/2016	799016EC0
8/1/2017	799016ED8
8/1/2018	799016EE6
8/1/2019	799016EF3
8/1/2020	799016EG1
8/1/2021	799016EH9
8/1/2022	799016EJ5
8/1/2023	799016EK2
8/1/2024	799016EL0
8/1/2025	799016EM8
8/1/2026	799016EN6
8/1/2031	799016EP1
8/1/2036	799016EQ9
8/1/2041	799016ER7

*CUSIP is a registered trademark of American Bankers Association.

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City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the Fiscal Year ended June 30, 2017 will be posted to the EMMA document repository upon availability.

II. OUTSTANDING INDEBTEDNESS

The table below presents a summary of the Sewer Enterprise's principal amount of Bonds outstanding as of June 30, 2017. For a detailed description of the Sewer Enterprise's Bonds and any Parity Obligations outstanding, please see the Notes to Basic Financial Statements "LONG-TERM DEBT" starting on page 85 of the City's 2016-17 Comprehensive Annual Financial Report.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds Outstanding as of June 30, 2017	
Bond Issue	Amount Outstanding as of June 30, 2017
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$23,185,000
\$32,255,000 Sewer Revenue Bonds 2014 Series A	\$32,255,000

Source: City of San Mateo, Comprehensive Annual Financial Report

III. RESERVE FUND

The table below presents the balance in the Bonds Reserve Fund as of June 30, 2017.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2017
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$1,092,818
\$32,255,000 Sewer Revenue Bonds 2014 Series A	No Reserve

Source: City of San Mateo

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners average flow and number of accounts during Fiscal Year 2016-17.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2016-17		
	Average Daily Flow (mgd)	Customer Accounts
San Mateo	6.1	27,963
Foster City	2.3	7,082
CSCSD	0.3	1,429
Belmont ⁽¹⁾	0.0	139
Hillsborough	0.7	2,307
Unincorporated County ⁽²⁾	-	-
	9.4	38,920

(1) Insignificant average daily flow.

(2) Insignificant

Source: City of San Mateo

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2016-17.

CITY OF SAN MATEO Sewer Enterprise Largest Users Fiscal Year 2016-17				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
ESSEX HILLSDALE GARDEN APARTMENTS	38,187	1.71%	\$461,995	1.63%
BOHANNON DEVELOPMENT CO	19,647	0.88%	338,380	1.19%
ATRIUM PLAZA LLC LESSEE	17,520	0.79%	294,746	1.04%
ASN BAY MEADOWS I LLC & BAY MEADOWS II LLC	19,578	0.88%	241,165	0.85%
MILLS-PENINSULA HEALTH SERVICES	14,891	0.67%	180,156	0.64%
TAN CPP-1 ASSOCIATES LLC	8,850	0.40%	167,612	0.59%
DW BRIDGEPOINTE LLC ET AL	6,785	0.30%	161,968	0.57%
INTL LOAN & MORTGAGE CO	7,576	0.34%	161,794	0.57%
BOREL ESTATE CO	10,105	0.45%	148,883	0.53%
COUNTY OF SAN MATEO	20,993	0.94%	133,857	0.47%
Largest Users Total	164,133	7.36%	\$2,290,556	8.08%
Total	2,229,088	100.00%	\$28,344,938	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION

The table below presents a historical summary of the Sewer Enterprise's statement of revenues, expenses and changes in fund net position.

CITY OF SAN MATEO Sewer Enterprise Statement of Revenues, Expenses and Changes in Fund Net Position					
	2012-13	2013-14	2014-15	2015-16	2016-17
Operating Revenues:					
Charges for Service	\$28,074,086	\$27,791,099	\$31,582,483	\$30,677,595	\$31,353,084
Connection fees	306,248	109,111	343,574	209,306	243,297
Impact fees	332,002	481,259	175,275	445,998	193,656
Other	-	-	101,236	16,491	-
Total operating revenues	\$28,712,336	\$28,381,469	\$32,202,568	\$31,349,390	\$31,790,037
Operating Expenses:					
Cost of Sales and Services	\$16,785,161	\$15,695,578	\$18,181,560	\$21,903,752	\$19,168,030
Administration	1,195,079	1,178,526	1,329,433	1,314,170	2,251,034
Depreciation and amortization	3,158,155	3,318,508	3,297,410	3,632,831	3,641,368
Total operating expenses	\$21,138,395	\$20,192,612	\$22,808,403	\$26,850,753	\$25,060,432
Operating Income (Loss)	\$7,573,941	\$8,188,857	\$9,394,165	\$4,498,637	\$6,729,605
Nonoperating Revenues (Expenses):					
Interest income	\$68,856	\$324,021	\$250,398	\$524,455	\$141,945
Gain (loss) on sale of capital assets	-\$7,123	-	-	-	-
Interest expense and fiscal charges	-2,071,770	-2,016,061	-2,586,384	-2,595,526	-2,590,463
Total nonoperating revenues (expenses)	-\$2,010,037	-\$1,692,040	-\$2,335,986	-\$2,071,071	-\$2,448,518
Income (Loss) Before Contributions and Transfers	\$5,563,904	\$6,496,817	\$7,058,179	\$2,427,566	\$4,281,087
Contributions	897,868	1,269,568	2,435,074	11,680,626	4,559,627
Transfers in	-	-	-	-	-
Transfers out	-	-	-	-	-
Total contributions and transfers	\$897,868	\$1,269,568	\$2,435,074	\$11,680,626	\$4,559,627
Change in Net Position	\$6,461,772	\$7,766,385	\$9,493,253	\$14,108,192	\$8,840,714
Net Position					
Beginning of Year	\$88,140,442	\$94,152,845	\$92,169,725	\$101,662,978	\$115,771,170
End of Year	\$94,602,214	\$101,919,230	\$101,662,978	\$115,771,170	\$124,611,884

Source: City of San Mateo, Comprehensive Annual Financial Report

VII. DEBT SERVICE COVERAGE

The table below presents a historical summary of the Sewer Enterprise's net revenues and historical debt service coverage ratios.

CITY OF SAN MATEO Sewer Enterprise Historical Revenues, Expenses and Debt Service Coverage					
	2012-13	2013-14	2014-15	2015-16	2016-17
Revenues					
Charges for Service	\$28,074,086	\$27,791,099	\$31,582,483	\$30,677,595	\$31,353,084
Connection and Impact Fees	638,250	590,370	518,849	655,304	436,953
Interest Income	68,856	324,021	250,398	524,455	141,945
Other	-	-	101,236	16,491	-
Total	\$28,781,192	\$28,705,490	\$32,452,966	\$31,873,845	\$31,931,982
Expenses					
Cost of Sales and Services	\$16,785,161	\$15,695,578	\$18,181,560	\$21,903,752	\$19,168,030
Administration	1,195,079	1,178,526	1,329,433	1,314,170	2,251,034
Total	\$17,980,240	\$16,874,104	\$19,510,993	\$23,217,922	\$21,419,064
Net Revenues	\$10,800,952	\$11,831,386	\$12,941,973	\$8,655,923	\$10,512,918
Debt Service					
Series 2003	\$728,254	\$728,254	-	-	-
Series 2011A	2,770,307	2,767,057	\$2,760,458	\$2,676,058	\$2,686,433
Series 2014A	-	-	780,479	1,344,365	1,344,365
CSWRCB Loan 25th Ave	-	-	-	123,756	-
State Street Loan	-	-	-	-	359,943
Total	\$3,498,561	\$3,495,311	\$3,540,936	\$4,144,179	\$4,390,741
Debt Service Coverage	3.09	3.38	3.65	2.09	2.39

Source: City of San Mateo, Comprehensive Annual Financial Report

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2017, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2017, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$31,990,000 Sewer Revenue Bonds 2011 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EA341562>

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>